

ECONOMY

A NOTE OF CAUTION

The *BT-C Fore Business Confidence Survey* reveals that business confidence in the March 2024 quarter dipped marginally

BY SURABHI

► **BUSINESSES IN INDIA** are treading cautiously as they navigate through an uncertain summer, grappling with ongoing geopolitical tensions, muted rural demand, and a pause on policy decisions and investments due to the General Elections. So even as the growth predictions for the economy remain around 7% for this fiscal (FY25), the record-breaking performance of the equity markets and India Inc.'s confidence seem to have abated to some extent, at

least for the time being. This is evident in the *BT-C Fore Business Confidence Survey* of 500 chief executive officers (CEOs) and chief financial officers (CFOs) for the January to March 2024 quarter, which dipped marginally from a record high in the October-December 2023 quarter.

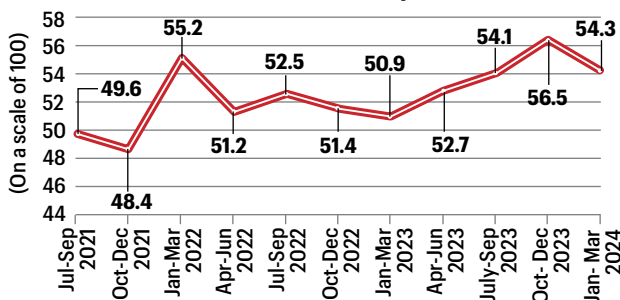
The Business Confidence Index (BCI) dipped to 54.3 in the January-March 2024 quarter from 56.5 in the previous quarter. It was at a similar level (54.1) in the July-September 2023 quarter.

Recent readings of high-frequency indicators, such as GST receipts and exports data, suggest that the growth momentum of India's economy remains strong. The Reserve Bank of India's (RBI) recent monthly bulletin also highlights the sustained global growth momentum in the first quarter of 2024 and the positive outlook for global trade.

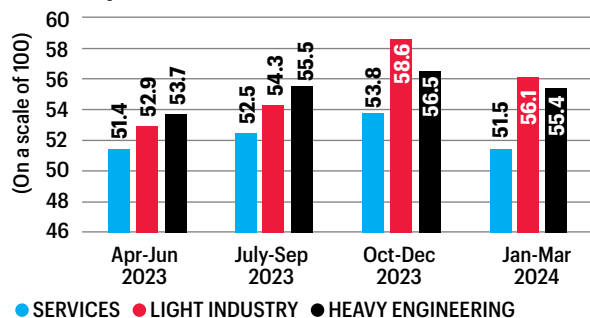
Devendra Kumar Pant, Chief Economist at India Ratings and Research, says there is unlikely to be a significant slowdown in glob-

CAREFUL NOW

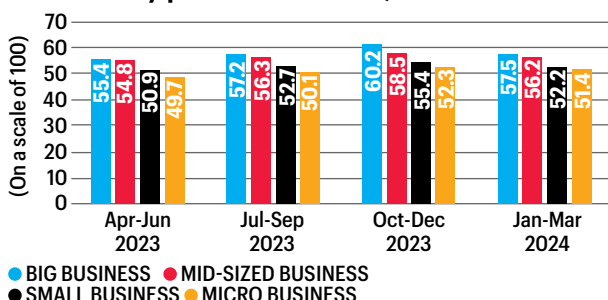
Business confidence takes a dip



BCI drops across sectors, services hit most



Uncertainty persists for small, micro firms



Hiring outlook dips for Q1FY25

